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UNITED STATES DISTRICT COURT

DISTRICT OF OREGON

PORTLAND DIVISION

UNITED STATES DISTRICT COURT

DISTRICT OF OREGON

PORTLAND DIVISION

COLUMBIA VETERINARY HOSPITAL,

Plaintiff,

vs.

ZOETIS, INC.,

Defendant.

Case No. 3:26-cv-01863-AN

DEFENDANT ZOETIS, INC.'S RULE 12 MOTION TO DISMISS

(Oral Argument Requested)

COLUMBIA VETERINARY HOSPITAL,

Plaintiff,

vs.

ZOETIS, INC.,

Defendant.

Case No. 3:26-cv-01863-AN

DEFENDANT ZOETIS, INC.'S RULE 12 MOTION TO DISMISS

(Oral Argument Requested)

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Page 1 - DEFENDANT ZOETIS, INC.'S RULE 12 MOTION TO DISMISS

LR 7-1 CERTIFICATION

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Pursuant to L.R. 7-1(a)(1)(A), counsel for Defendant Zoetis Inc. ("Zoetis"), hereby

Pursuant to L.R. 7-1(a)(1)(A), counsel for Defendant Zoetis Inc. ("Zoetis"), hereby

certify that they have met and conferred with counsel for Columbia Veterinary Hospital

certify that they have met and conferred with counsel for Columbia Veterinary Hospital ("CVH") by

("CVH") by telephone concerning the subject of this Motion. The parties were unable to

telephone concerning the subject of this Motion. The parties were unable to resolve their dispute.

resolve their dispute.

ZOETIS, INC.'S RULE 12 MOTION TO DISMISS

ZOETIS, INC.'S RULE 12 MOTION TO DISMISS

Zoetis moves to dismiss Plaintiff's Complaint (ECF 1) with prejudice pursuant to Federal

Zoetis moves to dismiss Plaintiff's Complaint (ECF 1) with prejudice pursuant to

Rules of Civil Procedure 8(a), 12(b)(6), Local Rule 7-1, and the Memorandum of Points and

Federal Rules of Civil Procedure 8(a), 12(b)(6), Local Rule 7-1, and the Memorandum of

Authorities included herein.

Points and Authorities included herein.

MEMORANDUM OF POINTS AND AUTHORITIES

MEMORANDUM OF POINTS AND AUTHORITIES

This case concerns Vetscan Imagyst® ("Imagyst"), a product developed and sold by Zoetis,

This case concerns Vetscan Imagyst® ("Imagyst"), a product developed and sold by

a global animal health company. Imagyst is a diagnostic platform that leverages state-of-the-art

Zoetis, a global animal health company. Imagyst is a diagnostic platform that leverages state-of-

Artificial Intelligence software to assist in the collection, organization, and assessment of

the-art Artificial Intelligence software to assist in the collection, organization, and assessment

veterinary imaging. Imagyst is sold to clinics as a tool to assist with providing veterinary services

of veterinary imaging. Imagyst is sold to clinics as a tool to assist with providing veterinary

to patients. Zoetis has never represented or advertised Imagyst as a substitute for the practice of

services to patients. Zoetis has never represented or advertised Imagyst as a substitute for the

medicine by a licensed professional, nor would it be reasonable for clinicians to rely on it as a

practice of medicine by a licensed professional, nor would it be reasonable for clinicians to rely

substitute for such judgment, yet that is exactly what the Complaint alleges.

on it as a substitute for such judgment, yet that is exactly what the Complaint alleges.

CVH alleges that over a year after purchasing Imagyst, one of its veterinarians relied

CVH alleges that over a year after purchasing Imagyst, one of its veterinarians relied

exclusively on an Imagyst suggestion of "[i]ndeterminate results" as a statement of factual

exclusively on an Imagyst suggestion of "[i]ndeterminate results" as a statement of factual

certainty rising beyond an "Imagyst-diagnosed" medical opinion, and based on that, performed an

certainty rising beyond an "Imagyst-diagnosed" medical opinion, and based on that, performed

invasive surgery on a patient. (Compl. at ¶¶ 28-29.) Although additional pathology testing later

an invasive surgery on a patient. (Compl. at ¶¶ 28-29.) Although additional pathology testing

confirmed cancer, leading to a second surgery during which the patient succumbed to

later confirmed cancer, leading to a second surgery during which the patient succumbed to

complications, Plaintiff nevertheless seeks to attribute those events to Imagyst's earlier

complications, Plaintiff nevertheless seeks to attribute those events to Imagyst's earlier

"indeterminate" assessment. (*Id.* at ¶¶ 30-33, 42.) The Complaint alleges that Zoetis's marketing

"indeterminate" assessment. (Id. at ¶¶ 30-33, 42.) The Complaint alleges that Zoetis's

from over a year before this single "indeterminate" diagnostic suggestion forms the basis of fraud

marketing from over a year before this single "indeterminate" diagnostic suggestion forms the

and violations of Oregon's Unlawful Trade Practices Act ("UTPA").

basis of fraud and violations of Oregon's Unlawful Trade Practices Act ("UTPA").

The Complaint must be dismissed with prejudice as neither claim will ever be actionable.

The UTPA claim is not actionable because Plaintiff is a business that purchased Imagyst for

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The Complaint must be dismissed with prejudice as neither claim will ever be business purposes, and UTPA does not protect businesses. The fraudulent inducement claim is not actionable. The UTPA claim is not actionable because Plaintiff is a business that purchased viable because the Complaint fails to allege an actionable misrepresentation, reasonable reliance, Imagyst for business purposes, and UTPA does not protect businesses. The fraudulent or a causal connection between any statement by Zoetis and the alleged harm. inducement claim is not viable because the Complaint fails to allege an actionable

FACTS ALLEGED

misrepresentation, reasonable reliance, or a causal connection between any statement by Zoetis

The following facts are alleged and assumed true only for purposes of this Motion. CVH and the alleged harm.
purchased Zoetis's Imagyst diagnostic platform based on Zoetis's representations of the platform's

FACTS ALLEGED

capabilities. Zoetis made representations related to Imagyst's general capabilities, stating it is the

The following facts are alleged and assumed true only for purposes of this Motion.
"world's most capable veterinary AI analyzer," that it would "[t]ransform your clinic with seven-CVH purchased Zoetis's Imagyst diagnostic platform based on Zoetis's representations of the in-one diagnostics * * * offering highly accurate sample analysis," and that it provides "expert-platform's capabilities. Zoetis made representations related to Imagyst's general capabilities, level results in minutes." (Compl. ¶ 12.)
stating it is the "world's most capable veterinary AI analyzer," that it would "[t]ransform your

In the document titled "Digital Diagnostic Artificial Intelligence in Veterinary Medicine: clinic with seven-in-one diagnostics * * * offering highly accurate sample analysis," and that it The Future Is Now," Zoetis represented that there were "rigorous validation studies showing that provides "expert-level results in minutes." (Compl. ¶ 12.)
VETSCAN IMAGYST's AI-derived diagnostic results are comparable to results from expert * *

In the document titled "Digital Diagnostic Artificial Intelligence in Veterinary
* clinical pathologists." (*Id.* at ¶ 13.) Zoetis also made representations about Imagyst's capabilities Medicine: The Future Is Now," Zoetis represented that there were "rigorous validation studies of identifying pathology suggestive of cancer, stating Imagyst "Identifies Findings Suggestive Of showing that VETSCAN IMAGYST's AI-derived diagnostic results are comparable to results * * * Mast cell tumor." (*Id.* at ¶ 14.) Zoetis represented that when scanning for "AI Masses," from expert * * * clinical pathologists." (Id. at ¶ 13.) Zoetis also made representations about Imagyst "will" "Identif[y] Findings Suggestive Of [cancerous] Mast cell tumor[s]" if directed to Imagyst's capabilities of identifying pathology suggestive of cancer, stating Imagyst "Identifies scan under the diagnostic category of "Skin/subcutaneous Mass Clinical Profiles." (*Id.* at ¶ 16.) Findings Suggestive Of * * * Mast cell tumor." (Id. at ¶ 14.) Zoetis represented that when And Zoetis represented that "Additional diagnostic categories not listed above might result in scanning for "AI Masses," Imagyst "will" "Identif[y] Findings Suggestive Of [cancerous] Mast *indeterminate results*, which do not fit into a clinical profile. *In this case, Add-on Expert Review* cell tumor[s]" if directed to scan under the diagnostic category of "Skin/subcutaneous Mass *is always recommended*." (*Id.* at ¶ 17, emphasis added).
Clinical Profiles." (Id. at ¶ 16.) And Zoetis represented that "Additional diagnostic categories

CVH entered into an agreement with Zoetis in August 2024. (Compl. ¶¶ 21-23). The not listed above might result in indeterminate results, which do not fit into a clinical profile. In Complaint further alleges that in October 2025, CVH submitted slides from a dog with a neck this case, Add-on Expert Review is always recommended." (Id. at ¶ 17, emphasis added).
mass to Imagyst under the "Skin/subcutaneous Mass Clinical Profiles" category. Imagyst

CVH entered into an agreement with Zoetis in August 2024. (Compl. ¶¶ 21-23). The reportedly identified the presence of "Aggregate Mast Cell" and "Spindle Cells" but issued an Complaint further alleges that in October 2025, CVH submitted slides from a dog with a neck assessment that was only "Suggestive of inflammatory lesion" and "Indeterminate," rather than mass to Imagyst under the "Skin/subcutaneous Mass Clinical Profiles" category. Imagyst diagnosing a mast cell tumor. (*Id.* at ¶¶ 27-28.)

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reportedly identified the presence of "Aggregate Mast Cell" and "Spindle Cells" but issued an

CVH alleges that it relied on that assessment in selecting an initial surgical approach and assessment that was only "Suggestive of inflammatory lesion" and "Indeterminate," rather than subsequently learned through testing performed by Oregon State University Veterinary Diagnostic diagnosing a mast cell tumor. (Id. at ¶¶ 27-28.)
Laboratory that the mass was a high-grade mast cell tumor with incomplete surgical margins. (*Id.*

CVH alleges that it relied on that assessment in selecting an initial surgical approach ¶¶ 24-33). CVH alleges that a second surgery became necessary because of the initial diagnosis, and subsequently learned through testing performed by Oregon State University Veterinary that the dog later died following the second procedure, and that CVH suffered financial and Diagnostic Laboratory that the mass was a high-grade mast cell tumor with incomplete surgical reputational harm as a result. Based on those allegations, CVH asserts claims for fraud in the margins. (Id. ¶¶ 24-33). CVH alleges that a second surgery became necessary because of the inducement and violation of the Oregon Unlawful Trade Practices Act and seeks rescission, initial diagnosis, that the dog later died following the second procedure, and that CVH suffered damages, attorney fees, and injunctive relief. (*Id.* ¶¶ 34-48, 50-71).
financial and reputational harm as a result. Based on those allegations, CVH asserts claims for

LEGAL STANDARD

fraud in the inducement and violation of the Oregon Unlawful Trade Practices Act and seeks

To survive a Rule 12(b)(6) motion to dismiss, a plaintiff must allege "enough facts to state rescission, damages, attorney fees, and injunctive relief. (Id. ¶¶ 34-48, 50-71).
a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 563 (2007);

LEGAL STANDARD

see also Ashcroft v. Iqbal, 556 U.S. 662, 678 (2009). "[A] plaintiff's obligation to provide the

To survive a Rule 12(b)(6) motion to dismiss, a plaintiff must allege "enough facts to grounds of his entitlement to relief requires more than labels and conclusions, and a formulaic state a claim to relief that is plausible on its face." Bell Atl. Corp. v. Twombly, 550 U.S. 544, recitation of the elements of a cause of action will not do." *Twombly*, 550 U.S. at 555. A motion 563 (2007); see also Ashcroft v. Iqbal, 556 U.S. 662, 678 (2009). "[A] plaintiff's obligation to to dismiss for failure to state a claim must be granted when there is no cognizable legal theory to provide the grounds of his entitlement to relief requires more than labels and conclusions, and support the claim or when the complaint lacks sufficient factual allegations to state a facially a formulaic recitation of the elements of a cause of action will not do." Twombly, 550 U.S. at plausible claim for relief. *Shroyer v. New Cingular Wireless Servs., Inc.*, 622 F.3d 1035, 1041 555. A motion to dismiss for failure to state a claim must be granted when there is no (9th Cir. 2010). The complaint must contain sufficient factual allegations to "plausibly suggest an cognizable legal theory to support the claim or when the complaint lacks sufficient factual entitlement to relief, such that it is not unfair to require the opposing party to be subjected to the allegations to state a facially plausible claim for relief. Shroyer v. New Cingular Wireless Servs., expense of discovery and continued litigation." *Starr v. Baca*, 652 F.3d 1202, 1216 (9th Cir. 2011). Inc., 622 F.3d 1035, 1041 (9th Cir. 2010). The complaint must contain sufficient factual
The plausibility standard asks for more than a possibility that a defendant has acted unlawfully. allegations to "plausibly suggest an entitlement to relief, such that it is not unfair to require the *Mashiri v. Epsten Grinnell & Howell*, 845 F.3d 984, 988 (9th Cir. 2017).
opposing party to be subjected to the expense of discovery and continued litigation." Starr v.

In evaluating the sufficiency of a complaint's factual allegations, the court must accept as Baca, 652 F.3d 1202, 1216 (9th Cir. 2011). The plausibility standard asks for more than a true all well-pled material facts and construe them in the light most favorable to the non-moving possibility that a defendant has acted unlawfully. Mashiri v. Epsten Grinnell & Howell, 845 party. *See Daniels-Hall v. Nat'l Educ. Ass'n*, 629 F.3d 992, 998 (9th Cir. 2010). Plaintiff is entitled F.3d 984, 988 (9th Cir. 2017).
to a presumption of truth of allegations that do not "simply recite the elements of a cause of action,

but [. . .] contain sufficient allegations of underlying facts to give fair notice and to enable the

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In evaluating the sufficiency of a complaint's factual allegations, the court must accept opposing party to defend itself effectively." *Starr*, 652 F.3d at 1216. In contrast, a court need not as true all well-pled material facts and construe them in the light most favorable to the non- credit legal conclusions "couched as []factual allegation[s.]" *Iqbal*, 556 U.S. at 678-79. moving party. See Daniels-Hall v. Nat'l Educ. Ass'n, 629 F.3d 992, 998 (9th Cir. 2010).

ARGUMENT

Plaintiff is entitled to a presumption of truth of allegations that do not "simply recite the

I. This Commercial Dispute Falls Outside the Scope of the UTPA.

elements of a cause of action, but [. . .] contain sufficient allegations of underlying facts to give

Plaintiff's UTPA claim fails because the statute's protections are limited to consumer fair notice and to enable the opposing party to defend itself effectively." Starr, 652 F.3d at 1216. transactions, not commercial transactions like this. The statute expressly applies to the sale of In contrast, a court need not credit legal conclusions "couched as []factual allegation[s.]" Iqbal, "goods [and] services" intended "primarily for personal, family or household purposes." ORS 556 U.S. at 678-79.
646.605(6)(a). *See Denson v. Ron Tonkin Gran Turismo, Inc.*, 279 Or. 85, 90 n 4, 566 P.2d 1177

ARGUMENT

(1977) (noting the UTPA protects "consumers rather than businesses."). *See also Ave. Lofts*

I. This Commercial Dispute Falls Outside the Scope of the UTPA.

Condominiums Owners' Ass'n v. Victaulic Co., 24 F. Supp. 3d 1010, 1015 (D. Or. 2014) ("Oregon

Plaintiff's UTPA claim fails because the statute's protections are limited to consumer courts have long held the UTPA 'applies only to consumer transactions; it does not regulate transactions, not commercial transactions like this. The statute expressly applies to the sale of commercial transactions.'"). Consistent with that principle, courts applying Oregon law will not "goods [and] services" intended "primarily for personal, family or household purposes." ORS extend the UTPA's protections to disputes arising from transactions between businesses. *Victaulic*, 646.605(6)(a). See Denson v. Ron Tonkin Gran Turismo, Inc., 279 Or. 85, 90 n 4, 566 P.2d 24 F. Supp. 3d at 1015 (citing *L & A Designs v. Xtreme ATVs, Inc.*, 2012 WL 1532417, at *4 (D. 1177 (1977) (noting the UTPA protects "consumers rather than businesses."). See also Ave. Or. Apr. 30, 2012)).
Lofts Condominiums Owners' Ass'n v. Victaulic Co., 24 F. Supp. 3d 1010, 1015 (D. Or.

When assessing whether the UTPA applies to a particular transaction, the relevant inquiry 2014) ("Oregon courts have long held the UTPA 'applies only to consumer transactions; it is whether the goods at issue are customarily purchased for personal, family, or household use and does not regulate commercial transactions.'"). Consistent with that principle, courts applying were purchased for such use by the plaintiff. *Victaulic*, 24 F. Supp. 3d at 1016 (citing *Searle v.* Oregon law will not extend the UTPA's protections to disputes arising from transactions *Exley Express*, 278 Or. 535, 540, 564 P.2d 1054 (1977)). This two-part test examines both the type between businesses. Victaulic, 24 F. Supp. 3d at 1015 (citing L & A Designs v. Xtreme ATVs, of product or service involved and the purpose for which it was purchased:
Inc., 2012 WL 1532417, at *4 (D. Or. Apr. 30, 2012)).

> As explained by the Supreme Court in *Searle v. Exley Express*, "[i]f goods are customarily bought by a substantial number of purchasers for personal, family or household uses and were, in fact, bought by the plaintiff for his or someone else's use and not for resale, the [UTPA] applies." Thus, *Searle* embodies a two-part test: Is the real estate, good, or service at issue customarily purchased by a substantial number of people for personal, family, or household use (the objective component) and was it, in fact, purchased by the plaintiff for personal, family, or household use, rather than for commercial use or resale (the subjective component).

When assessing whether the UTPA applies to a particular transaction, the relevant inquiry is whether the goods at issue are customarily purchased for personal, family, or household use and were purchased for such use by the plaintiff. Victaulic, 24 F. Supp. 3d at 1016 (citing Searle v. Exley Express, 278 Or. 535, 540, 564 P.2d 1054 (1977)). This two-part test examines both the type of product or service involved and the purpose for which it was purchased:

Fowler v. Cooley, 239 Or. App. 338, 344–45 (2010) (citing Searle, 278 Or. at 540).

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As explained by the Supreme Court in Searle v. Exley Express, "[i]f goods are customarily bought by a substantial number of purchasers for personal, family or household uses and were, in fact, bought by the plaintiff for his or someone else's use and not for resale, the [UTPA] applies." Thus, Searle embodies a two-part test: Is the real estate, good, or service at issue customarily purchased by a substantial number of people for personal, family, or household use (the objective component) and was it, in fact, purchased by the plaintiff for personal, family, or household use, rather than for commercial use or resale (the subjective component).

Fowler v. Cooley, 239 Or. App. 338, 344–45 (2010) (citing Searle, 278 Or. at 540).

Here, neither prong of that test is satisfied. Objectively, Imagyst is not a good or service purchased by consumers for personal, family, or household use. Instead, it is a tool used by licensed veterinary professionals in the course of providing veterinary services. (*See* Compl. ¶ 12.) And subjectively, Plaintiff did not purchase Imagyst for personal, family, or household use. Instead, Plaintiff, a veterinary hospital, entered into an agreement with Zoetis to acquire Imagyst for use in its veterinary practice. (*See Id.* ¶¶ 7, 21-22.) Plaintiff alleges it used Imagyst to provide diagnostic services to its patients and seeks recovery for losses allegedly resulting from that use. (*See Id.* ¶¶ 24-33, 47-48, 70-71.) Because neither prong is met, the UTPA does not apply.

Plaintiff apparently attempts to plead a basis for the UTPA to apply by alleging Imagyst was used by their business to diagnose conditions in "personal, family or household" pets. (*Id.* ¶ 63.) But the relevant UTPA inquiry focuses on the transaction between the plaintiff and the defendant, not the downstream use of the plaintiff's professional services. Accordingly, Plaintiff's UTPA claim fails as a matter of law and should be dismissed with prejudice.

II. The Complaint Does Not Plead Fraudulent Inducement.

Oregon substantive law applies to this Court's exercise of diversity jurisdiction. *Alton v. Medtronic, Inc.*, 970 F. Supp. 2d 1069, 1105 (D. Or. 2013) (citing *Vess v. Ciba–Geigy Corp. USA*, 317 F.3d 1097, 1103 (9th Cir.2003)). Under Oregon law, fraudulent inducement requires "proving that the [defendant] made a false representation of material fact and that the person to whom the representation was made was induced to enter the agreement in reliance on that misrepresentation." *State by & through Bus. Dev. Dep't v. Huttenbauer*, 301 Or. App. 332, 344–45 (2019) (citing *Graves v. Tulleners*, 205 Or. App. 267, 276-77 (2006)).

Here, nearly every element is lacking. The Complaint alleges nonactionable puffery and generalized statements, and there are no facts alleged that suggest any particular statement Zoetis made before the sale of Imagyst to Plaintiff was false, much less that Zoetis knew it was false. And fatally, the Plaintiff's allegations of reliance are nowhere near reasonable. The alleged fraud is a single instance of user error that occurred after the sale of Imagyst to Plaintiff. When using the product, a CVH veterinarian apparently interpreted an Imagyst "indeterminate results" suggestion

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on that misrepresentation." State by & through Bus. Dev. Dep't v. Huttenbauer, 301 Or. App. as an affirmative diagnosis of "no cancer," and exclusively relied on that mistake to perform a 332, 344–45 (2019) (citing Graves v. Tulleners, 205 Or. App. 267, 276-77 (2006)).
surgery in a particular way. The Complaint struggles to tie this user error back to Zoetis marketing

Here, nearly every element is lacking. The Complaint alleges nonactionable puffery and about product performance as affirmative representations that the Imagyst platform is 100% generalized statements, and there are no facts alleged that suggest any particular statement infallible and that CVH purchased the platform because it reasonably believed Imagyst "would" Zoetis made before the sale of Imagyst to Plaintiff was false, much less that Zoetis knew it was identify any imaging suggestive of cancer under any circumstance. (*See* Compl. ¶¶ 16-20.) false. And fatally, the Plaintiff's allegations of reliance are nowhere near reasonable. The alleged Altogether, the Complaint is insufficient to state a claim for fraud.
fraud is a single instance of user error that occurred after the sale of Imagyst to Plaintiff. When

A. The Complaint Does Not Allege Factual Representations.

using the product, a CVH veterinarian apparently interpreted an Imagyst "indeterminate

The Complaint alleges only generalized marketing statements and puffery of product results" suggestion as an affirmative diagnosis of "no cancer," and exclusively relied on that performance. Fraud is actionable where concrete and objectively verifiable assertions are alleged, mistake to perform a surgery in a particular way. The Complaint struggles to tie this user error as such statements can be proven false and are capable of inducing reasonable reliance. *State ex* back to Zoetis marketing about product performance as affirmative representations that the *rel Rosenblum v. Living Essentials, LLC*, 335 Or. App. 30, 43, 558, opinion adhered to as modified Imagyst platform is 100% infallible and that CVH purchased the platform because it on reconsideration sub nom., *State ex rel. Rosenblum v. Living Essentials, LLC*, 336 Or. App. 1 reasonably believed Imagyst "would" identify any imaging suggestive of cancer under any (2024). But generalized puffery is not actionable, and "a seller's statements constitute puffery if circumstance. (See Compl. ¶¶ 16-20.) Altogether, the Complaint is insufficient to state a claim they are general or subjective, that is, insusceptible to being proven true or false, such that they are for fraud.
unlikely to induce consumer reliance." *Id.*

A. The Complaint Does Not Allege Factual Representations.

Here, Plaintiff attempts to convert generalized promotional statements and descriptions of

The Complaint alleges only generalized marketing statements and puffery of product a platform's capabilities into enforceable guarantees of perfect diagnostic performance. But performance. Fraud is actionable where concrete and objectively verifiable assertions are statements such as "world's most capable," "transform your clinic," "expert-level results," and alleged, as such statements can be proven false and are capable of inducing reasonable reliance. "highly accurate analysis" are classic puffery because they are subjective, aspirational, and not State ex rel Rosenblum v. Living Essentials, LLC, 335 Or. App. 30, 43, 558, opinion adhered objectively verifiable. (Compl. ¶ 12.) Even the more specific statements alleged regarding to as modified on reconsideration sub nom., State ex rel. Rosenblum v. Living Essentials, LLC, Imagyst's mast cell tumor identification capabilities describe general product performance, not a 336 Or. App. 1 (2024). But generalized puffery is not actionable, and "a seller's statements warranty that it will correctly diagnose every case. (*See id.* at ¶¶ 13-18.) Such statements are constitute puffery if they are general or subjective, that is, insusceptible to being proven true or incapable of being proven false. For example, and ignoring the fact this does not appear in the false, such that they are unlikely to induce consumer reliance." Id.
representations alleged, CVH alleges it interpreted Zoetis marketing as representing that Imagyst

Here, Plaintiff attempts to convert generalized promotional statements and can "identify and diagnose mast cell tumors as accurately as existing human experts." (*Id.* at ¶ 22.) descriptions of a platform's capabilities into enforceable guarantees of perfect diagnostic That is not an objective fact capable of being proven true or false. The "human experts" performance. But statements such as "world's most capable," "transform your clinic," "expert-

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level results," and "highly accurate analysis" are classic puffery because they are subjective, presumably are veterinary pathologists who provide *diagnoses*, which are by definition medical aspirational, and not objectively verifiable. (Compl. ¶ 12.) Even the more specific statements *opinions*.
alleged regarding Imagyst's mast cell tumor identification capabilities describe general product

B. The Complaint Does Not Allege Zoetis Knowingly Made False Representations.

performance, not a warranty that it will correctly diagnose every case. (See id. at ¶¶ 13-18.)

There are no facts alleged showing that Zoetis made an alleged representation with known Such statements are incapable of being proven false. For example, and ignoring the fact this falsity; instead, the only basis for falsity alleged in the Complaint is a single isolated failure that does not appear in the representations alleged, CVH alleges it interpreted Zoetis marketing as occurred over a year after the transaction, which was just as likely to be a user error than a product representing that Imagyst can "identify and diagnose mast cell tumors as accurately as existing failure. "Intent to deceive in an action for fraud can be established by proof that defendant knew human experts." (Id. at ¶ 22.) That is not an objective fact capable of being proven true or the representation was false or that it was made recklessly without regard to its truth or falsity." false. The "human experts" presumably are veterinary pathologists who provide diagnoses, *Caldwell v. Pop's Homes, Inc.*, 54 Or. App. 104, 112 (1981) (citing *Huszar v. Certified Realty*, which are by definition medical opinions.
278 Or. 29, 32 (1977); *Bausch v. Myers*, 273 Or. 376, 379 (1975)). Crucially, "[t]o amount to a

B. The Complaint Does Not Allege Zoetis Knowingly Made False

fraudulent representation sufficient to constitute actionable fraud, the intention not to perform must

Representations.

exist at the time the promise to do something in the future is made, and such an intent formed later

There are no facts alleged showing that Zoetis made an alleged representation with and carried into effect is insufficient." *Conzelmann v. Northwest Poultry & Dairy Products Co.* known falsity; instead, the only basis for falsity alleged in the Complaint is a single isolated (1950) 190 Or. 332, 351. For that reason, the "failure to subsequently perform the promise is, of failure that occurred over a year after the transaction, which was just as likely to be a user error itself, insufficient evidence of fraud." *Weiss v. Nw. Acceptance Corp.*, 274 Or. 343, 346 (1976). than a product failure. "Intent to deceive in an action for fraud can be established by proof that

Here, the Complaint alleges that "Zoetis knew its representations were false, or made them defendant knew the representation was false or that it was made recklessly without regard to its recklessly without regard for their truth, because Zoetis was aware or should have been aware that truth or falsity." Caldwell v. Pop's Homes, Inc., 54 Or. App. 104, 112 (1981) (citing Huszar v. Imagyst would fail to properly diagnose mast cell tumors." (Compl. at ¶ 53.) This is a legal Certified Realty, 278 Or. 29, 32 (1977); Bausch v. Myers, 273 Or. 376, 379 (1975)). Crucially, conclusion without any support from the facts alleged. In a light most reasonable to CVH, the "[t]o amount to a fraudulent representation sufficient to constitute actionable fraud, the Complaint's exclusive proof of falsity is a single instance of the use of Imagyst, which was just as intention not to perform must exist at the time the promise to do something in the future is likely to be an error of the user than an error with Imagyst's suggested finding. But one mistake made, and such an intent formed later and carried into effect is insufficient." Conzelmann v. does not transform a general product performance into a known or recklessly false Northwest Poultry & Dairy Products Co. (1950) 190 Or. 332, 351. For that reason, the misrepresentation. Nor did Zoetis represent that Imagyst would accurately relay diagnostic "failure to subsequently perform the promise is, of itself, insufficient evidence of fraud." Weiss findings with 100% infallible accuracy in every instance of use.
v. Nw. Acceptance Corp., 274 Or. 343, 346 (1976).

C. The Complaint Does Not Allege Reasonable Reliance on a Representation.

Here, the Complaint alleges that "Zoetis knew its representations were false, or made

Even in a light most favorable to CVH, each instance of reliance alleged in the Complaint them recklessly without regard for their truth, because Zoetis was aware or should have been is unreasonable and unjustified. "[T]he standard for reasonable or justifiable reliance in the context

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aware that Imagyst would fail to properly diagnose mast cell tumors." (Compl. at ¶ 53.) This is
of fraud is both subjective and objective." *Cocchiara v. Lithia Motors, Inc.*, 353 Or. 282, 298
a legal conclusion without any support from the facts alleged. In a light most reasonable to
(2013). *See Vasquez-Lopez v. Beneficial Oregon, Inc.*, 210 Or. App. 553, 580 (Or. Ct. App. 2007)
CVH, the Complaint's exclusive proof of falsity is a single instance of the use of Imagyst,
(affirming a directed verdict for lack of reasonable reliance because the defendant was a
which was just as likely to be an error of the user than an error with Imagyst's suggested
sophisticated party with resources to question and investigate the veracity of misrepresentations)
finding. But one mistake does not transform a general product performance into a known or
("One of the circumstances to be taken into consideration is the sophistication of the party asserting
recklessly false misrepresentation. Nor did Zoetis represent that Imagyst would accurately relay
fraud.").
diagnostic findings with 100% infallible accuracy in every instance of use.

Here, CVH is a sophisticated business operation run by licensed veterinarians to practice

C. The Complaint Does Not Allege Reasonable Reliance on a Representation.

veterinary medicine. For its alleged reliance to be reasonable, an objective veterinarian must be

Even in a light most favorable to CVH, each instance of reliance alleged in the
capable of believing that Zoetis representing that Imagyst "Identifies Findings Suggestive Of * *
Complaint is unreasonable and unjustified. "[T]he standard for reasonable or justifiable
* Mast cell tumor" meant Imagyst would always and infallibly identify pathology in every instance
reliance in the context of fraud is both subjective and objective." Cocchiara v. Lithia Motors,
(Compl. at ¶ 14), that technology is even capable of making pathological suggestions that are
Inc., 353 Or. 282, 298 (2013). See Vasquez-Lopez v. Beneficial Oregon, Inc., 210 Or. App. 553,
infallible veterinary diagnoses regardless of circumstance (*see id*. at ¶¶ 15–20), and that somehow,
580 (Or. Ct. App. 2007) (affirming a directed verdict for lack of reasonable reliance because the
Zoetis's statement that "Add-on Expert Review is always recommended" for "indeterminate
defendant was a sophisticated party with resources to question and investigate the veracity of
results" reported for additional diagnostic categories means that additional review *is never*
misrepresentations) ("One of the circumstances to be taken into consideration is the
required for Imagyst's listed diagnostic categories (*id*. at ¶ 17). Put simply, a licensed veterinarian
sophistication of the party asserting fraud.").
would have to believe the string of marketing statements alleged in the Complaint amounted to a

Here, CVH is a sophisticated business operation run by licensed veterinarians to
factual guarantee that "(1) Imagyst could and would [always] determine whether a subcutaneous
practice veterinary medicine. For its alleged reliance to be reasonable, an objective veterinarian
mass was a cancerous mast cell tumor without additional human review, because that was a listed
must be capable of believing that Zoetis representing that Imagyst "Identifies Findings
diagnostic category; and (2) for other non-listed categories, however, Imagyst could require further
Suggestive Of * * * Mast cell tumor" meant Imagyst would always and infallibly identify
human review." (*Id.* at ¶ 18.) No reasonable juror can find that a sophisticated veterinarian
pathology in every instance (Compl. at ¶ 14), that technology is even capable of making
operation, in the business of providing *medical opinions* and recommended treatments, is capable
pathological suggestions that are infallible veterinary diagnoses regardless of circumstance (see
of reasonably interpreting those statements as a promise by Zoetis that Imagyst is so accurate, each
id. at ¶¶ 15–20), and that somehow, Zoetis's statement that "Add-on Expert Review is always
of its expressly "suggestive" findings are in fact more than suggestions, and more than diagnostic
recommended" for "indeterminate results" reported for additional diagnostic categories means
opinions, they are infallible factual truths.
that additional review is never required for Imagyst's listed diagnostic categories (id. at ¶ 17).
/ / /
Put simply, a licensed veterinarian would have to believe the string of marketing statements
/ / /
alleged in the Complaint amounted to a factual guarantee that "(1) Imagyst could and would

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[always] determine whether a subcutaneous mass was a cancerous mast cell tumor without of fraud is both subjective and objective." *Cocchiara v. Lithia Motors, Inc.*, 353 Or. 282, 298 additional human review, because that was a listed diagnostic category; and (2) for other non- (2013). *See Vasquez-Lopez v. Beneficial Oregon, Inc.*, 210 Or. App. 553, 580 (Or. Ct. App. 2007) listed categories, however, Imagyst could require further human review." (Id. at ¶ 18.) No (affirming a directed verdict for lack of reasonable reliance because the defendant was a reasonable juror can find that a sophisticated veterinarian operation, in the business of sophisticated party with resources to question and investigate the veracity of misrepresentations) providing medical opinions and recommended treatments, is capable of reasonably ("One of the circumstances to be taken into consideration is the sophistication of the party asserting interpreting those statements as a promise by Zoetis that Imagyst is so accurate, each of its fraud."). expressly "suggestive" findings are in fact more than suggestions, and more than diagnostic

Here, CVH is a sophisticated business operation run by licensed veterinarians to practice opinions, they are infallible factual truths. veterinary medicine. For its alleged reliance to be reasonable, an objective veterinarian must be

III. NO AMENDMENT CAN SAVE THE CLAIMS.

capable of believing that Zoetis representing that Imagyst "Identifies Findings Suggestive Of * *

Because no facts can transform this transaction into one covered by UTPA and no facts * Mast cell tumor" meant Imagyst would always and infallibly identify pathology in every instance can transform Zoetis's generalized puffery into known false representations CVH justifiably (Compl. at ¶ 14), that technology is even capable of making pathological suggestions that are relied upon, amendment is futile and the Complaint's claims should be dismissed with infallible veterinary diagnoses regardless of circumstance (*see id*. at ¶¶ 15–20), and that somehow, prejudice. Zoetis's statement that "Add-on Expert Review is always recommended" for "indeterminate results" reported for additional diagnostic categories means that additional review *is never required* for Imagyst's listed diagnostic categories (*id*. at ¶ 17). Put simply, a licensed veterinarian would have to believe the string of marketing statements alleged in the Complaint amounted to a factual guarantee that "(1) Imagyst could and would [always] determine whether a subcutaneous mass was a cancerous mast cell tumor without additional human review, because that was a listed diagnostic category; and (2) for other non-listed categories, however, Imagyst could require further human review." (*Id.* at ¶ 18.) No reasonable juror can find that a sophisticated veterinarian operation, in the business of providing *medical opinions* and recommended treatments, is capable of reasonably interpreting those statements as a promise by Zoetis that Imagyst is so accurate, each of its expressly "suggestive" findings are in fact more than suggestions, and more than diagnostic opinions, they are infallible factual truths.

/ / /

/ / /

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CONCLUSION

III. No Amendment Can Save the Claims.

For the foregoing reasons, the Court should dismiss Plaintiff's claims, and find that any Because no facts can transform this transaction into one covered by UTPA and no facts can further amendment would be futile. Therefore, dismissal with prejudice is warranted. transform Zoetis's generalized puffery into known false representations CVH justifiably relied upon, amendment is futile and the Complaint's claims should be dismissed with prejudice.

DATED: September 15, 2026

SCHWABE, WILLIAMSON & WYATT, P.C.

CONCLUSION

For the foregoing reasons, the Court should dismiss Plaintiff's claims, and find that any further amendment would be futile. Therefore, dismissal with prejudice is warranted.

DATED: September 15, 2026

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CERTIFICATE OF SERVICE
CERTIFICATE OF SERVICE

The undersigned declares under penalty of perjury, under the laws of the State of Oregon, that on September 15, 2026, I arranged for service of the foregoing DEFENDANT ZOETIS, INC.'S RULE 12 MOTION TO DISMISS on the party to this action as follows:

The undersigned declares under penalty of perjury, under the laws of the State of Oregon, that on September 15, 2026, I arranged for service of the foregoing DEFENDANT ZOETIS, INC.'S RULE 12 MOTION TO DISMISS on the party to this action as follows:

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- [x] U.S. Postal Service, ordinary first class mail
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- [ ] hand delivery
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- [x] electronic service
- [x] other (specify) Email (courtesy copy)

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